ASSISTANT PROFESSOR EXAM — 2024

Economics • Second Paper

UNIT 10

Economy of Madhya Pradesh

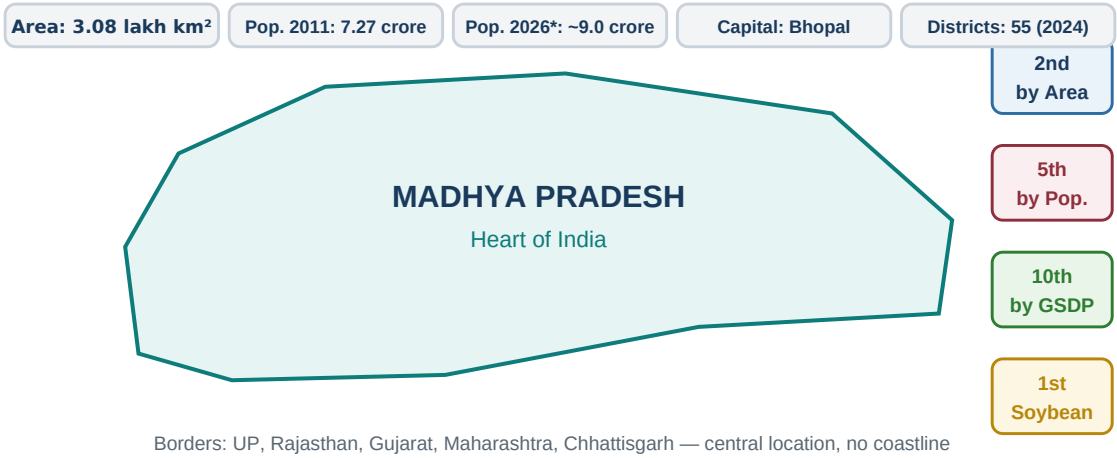
मध्य प्रदेश की अर्थव्यवस्था

1. Salient Features of MP Economy; Natural Resources; Infrastructure & Social Infrastructure
2. Demographic Features & Trends; HDI in Madhya Pradesh
3. Role of Agriculture; Agro-climatic Zones; Crops, Productivity, Cropping Pattern; Agri Policy & ODOP (agri)
4. Industrial Growth, Major Industries, MSME Sector; Industrial Policy; Estates; Tourism; Horticulture; Organic Farming; FDI; ODOP (industrial)
5. Tribal Economy of MP: features, cropping pattern, marketing & Haat Bazaar, livelihood, upliftment schemes

Hinglish detailed notes • 16 diagrams • latest data: Economic Survey 2025-26, Budget 2025-26, GIS 2025

SECTION 1 — Salient Features, Natural Resources, Infrastructure

1.1 Salient Features of MP Economy / प्रमुख विशेषताएँ



Borders: UP, Rajasthan, Gujarat, Maharashtra, Chhattisgarh — central location, no coastline

Fig 1: MP's position in India — key macro facts

Madhya Pradesh ("Heart of India") is India's **2nd largest state by area** (3.08 lakh km², 9.36% of India) and **5th largest by population** (7.27 cr in 2011 Census; ~9.0 cr projected for 2026). State borders 5 states (UP, Rajasthan, Gujarat, Maharashtra, Chhattisgarh) — **no coastline**, no international border. Reorganised in **Nov 2000** with separation of Chhattisgarh.

Salient features at a glance

Agriculture-led economy: primary sector contributes 43.09% of GSDP (FY26 current prices) — highest among major Indian states. Cropping land > 1.5 cr ha; **11 agro-climatic zones**.

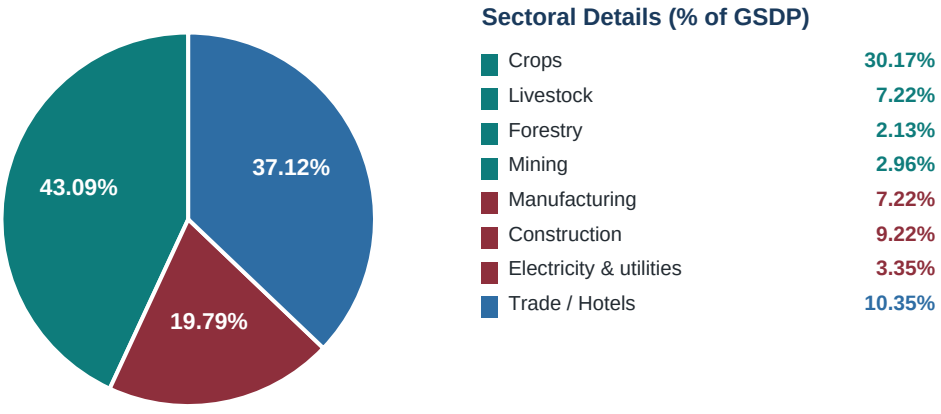
Mineral-rich: 100% of India's diamond (Panna), large coal (Singrauli), copper (Malanjkhand), limestone, manganese, bauxite, dolomite — **major mineral state**.

Resource hub: 4 major river basins (Narmada, Tapti/Tapi, Mahi, Chambal); ~25% of country's forest cover; largest forest area among Indian states (~77,500 km²).

Demographic dividend: young population (median age ~26); high working-age share growing.

Persistent challenges: high poverty (~20% BPL — Tendulkar line), low literacy (69.3% vs 73% India), female LFPR low, regional inequality (Malwa/Indore-Bhopal vs Bundelkhand/Vindhya backward), large tribal pop (21.1%).

1.2 Sectoral Composition / क्षेत्रीय संरचना (FY 2025-26)



GSDP by Sector — FY 2025-26

(current prices)

Primary remains largest share; Tertiary fastest-growing (15.8%); MP among top-5 agri states

Fig 2: GSDP composition — Economic Survey 2025-26 (current prices)

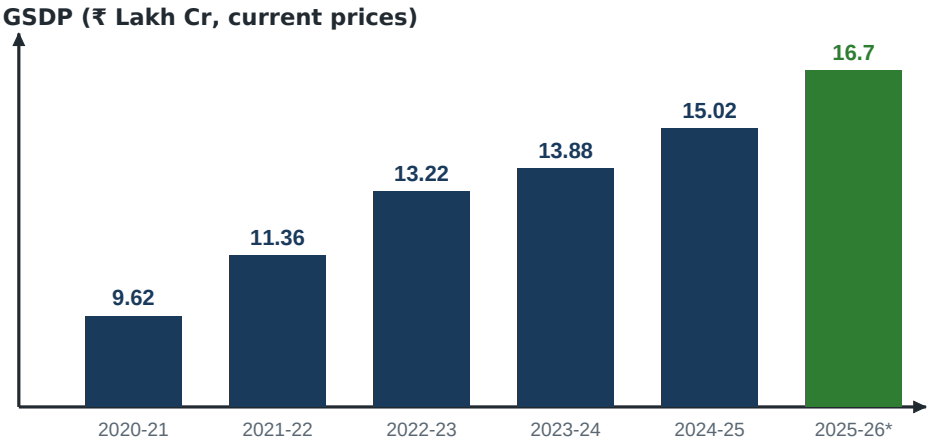
Key sectoral facts (Economic Survey 2025-26)

GSDP at current prices = ₹16,69,750 cr (~₹16.70 lakh cr) — up **11.14%** from ₹15,02,428 cr (FY25). **At constant 2011-12 prices** = ₹7,81,911 cr — real growth **8.04%**.

Per Capita Income (PCI): ₹1,69,050 (current) — almost **4.4× the 2011-12 figure** (₹38,497); still ~20% below India's national PCI.

Sectoral growth: Tertiary 15.8% (fastest); Primary 7.31%; Secondary moderate. Crops alone contribute 30.17% of GSVA.

Fiscal: Revenue surplus ₹2,618 cr (FY26 est.); fiscal deficit 4.66% of GSDP; debt-GSDP 31.3%.



*FY 2025-26 (Economic Survey, advance est.): GSDP ₹16.70 lakh cr; 11.14% nominal / 8.04% real growth; PCI ₹1.69 lakh

Fig 3: GSDP trend at current prices, 2020-21 to 2025-26

1.3 Natural Resources / प्राकृतिक संसाधन

Resource	Details	Key districts
Land	3.08 lakh km²; ~49% net sown area; ~25% forest cover (largest in India)	spread across state
Rivers	**Narmada** (lifeline, 1312 km — longest in MP), Tapti/Tapi, Chambal, Betwa, Mahi, Son, Wainganga	Narmada: Amarkantak → Bharuch
Forests	77,500 km² — Sal, Teak, Bamboo, Tendu (largest Tendu leaf producer)	Mandla, Dindori, Shahdol, Balaghat, Bastar (formerly)
Minerals	Diamond (only producer — Panna), copper (Malanjkhand: India's largest), coal, limestone, manganese, bauxite, dolomite	Panna, Singrauli, Balaghat, Katni, Chhindwara
Water	Major: Narmada Valley Project (Indira Sagar, Omkareshwar, SSP); Bargi, Bansagar, Gandhi Sagar dams	Khandwa, Hoshangabad, Jabalpur, Rewa
Wildlife	11 National Parks; Tiger State of India (785 tigers — 2022 estimate)	Kanha, Bandhavgarh, Pench, Satpura, Madhav, Panna

1.4 Infrastructure / आधारभूत संरचना

Physical & Economic Infrastructure

Roads: ~5 lakh km total; National Highways ~8,772 km; PM Gram Sadak Yojana — 72,975 km rural roads added (Economic Survey 2025-26).

Railways: ~5,000 km — major junctions Bhopal, Itarsi, Jabalpur, Katni, Ratlam; Western Dedicated Freight Corridor passes through.

Airports: 5 commercial (Bhopal, Indore-Devi Ahilya, Jabalpur, Gwalior, Khajuraho) + 26 airstrips — state ranks high on regional connectivity.

Power: Installed capacity ~30,000 MW; large renewable push — **Rewa Solar Park** (750 MW) ek time world's largest single-site; Madhya Pradesh Urja Vikas Nigam.

Industrial corridors: Delhi-Mumbai (DMIC), Bhopal-Indore corridor, NIMZ at Pithampur (Indore).

Social Infrastructure

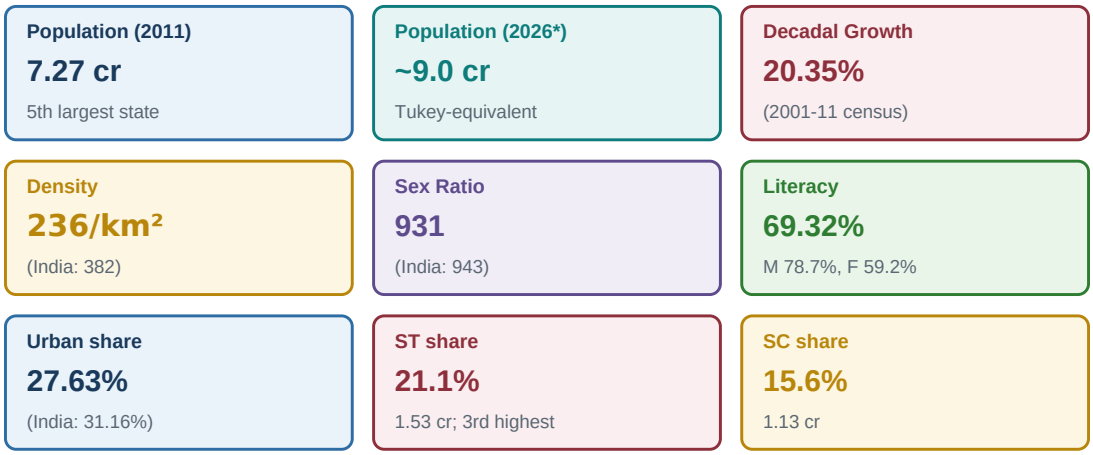
Education: ~1.3 lakh primary schools; 56+ universities including Devi Ahilya Vishwavidyalaya (Indore), Vikram University (Ujjain), Jiwaji (Gwalior), Barkatullah (Bhopal); IIM Indore, IIT Indore, AIIMS Bhopal, NLIU Bhopal.

Health: AIIMS Bhopal; 51 medical colleges proposed (one per district vision); **4.42 crore Ayushman cards** issued; MMR fell **379 → 142** per lakh live births (steep improvement).

Housing: PMAY-G + PMAY-U coverage extensive; Ladli Behna Yojana, Ladli Lakshmi Yojana — women-focused schemes.

SECTION 2 — Demographic Features & HDI

2.1 Population Profile / जनसंख्या स्वरूप



Census 2011 base; 2026 figures from National Commission on Population projections

Fig 4: Key demographic indicators of MP

Census 2011: 7.27 crore (males 3.76 cr, females 3.50 cr) — **5th largest state in India**. **Decadal growth 2001-11: 20.35%** (higher than national 17.7%). **2026 projection (National Commission on Population)**: ~9.0 crore — 6.29% of India. MP's population is comparable to **Türkiye** (18th most populous country globally).

Indicator	MP	India	Comment
Population (2011)	7.27 cr	121 cr	5th largest; 6% of India
Decadal growth	20.35%	17.7%	higher than national — still slowing
Density	236/km²	382/km²	low — large geographical area
Sex ratio (overall)	931	943	12 pts improved vs 2001 (919)
Child sex ratio (0-6)	918	919	a worry — Beti Bachao Beti Padhao focus
Literacy	69.32%	73.00%	M 78.7%, F 59.2% — gender gap large
Urban share	27.63%	31.16%	predominantly rural; urbanising slowly
ST share	21.1%	8.6%	**3rd highest** ST share among states
SC share	15.6%	16.6%	close to national
Median age	~26 yrs	~28 yrs	younger profile — demographic dividend window

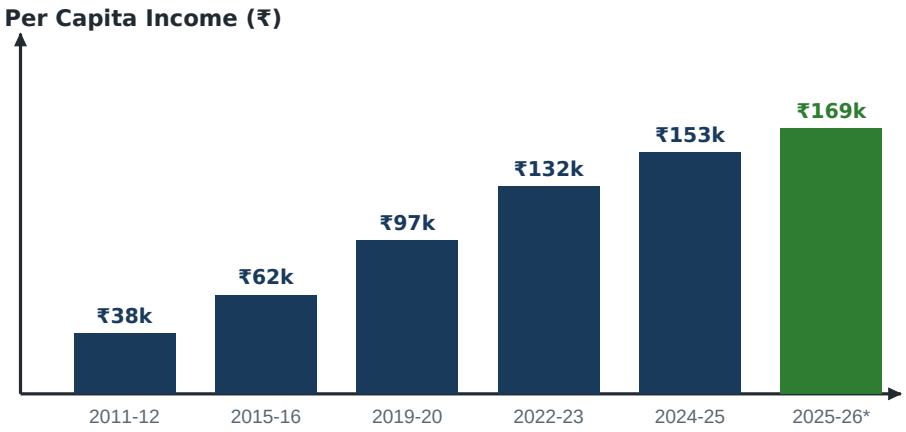
Districts & Administrative units

Districts: 55 (after creation of Mauganj 2024 + Pandhurna 2023 + Maihar 2023). **Divisions:** 10 (Bhopal, Indore, Ujjain, Gwalior, Sagar, Jabalpur, Rewa, Shahdol, Narmadapuram, Chambal).

Largest district by area: Chhindwara; **most populous:** Indore; **highest ST share:** Alirajpur (89%), Jhabua, Barwani; **highest sex ratio:** Balaghat & Alirajpur (>1000).

Sub-State Bodies: 313 Janpad Panchayats, 23,000+ Gram Panchayats; 378 Nagar Palika / Nagar Parishad / Nagar Nigam (16 Municipal Corporations).

2.2 Per Capita Income Trend / प्रति व्यक्ति आय



PCI grown ~4.4× since 2011-12 (₹38,497 → ₹1,69,050) — but still ~20% below national PCI

Fig 5: Per capita income growth, 2011-12 to 2025-26

2.3 Trends in Demographic Features

Key trends

Fertility decline: Total Fertility Rate (TFR) fell from 3.1 (NFHS-3) to **2.0 (NFHS-5, 2019-21)** — reached replacement level. SRS 2020 TFR 2.6, still above India (2.0).

Mortality improvement: IMR 38 (NFHS-5) — improvement from 51 (NFHS-4); MMR 142/lakh (2018-20) from 379 — steep decline.

Health insurance: 4.42 cr Ayushman cards issued; institutional deliveries above 90%.

Literacy gains: 2001 64.1% → 2011 69.3% — female literacy rose fastest; gender gap still ~19 percentage points.

Urbanisation: slow but rising — Indore (~3.3 mn) is largest city + cleanest in India (Swachh Survekshan many years).

2.4 HDI in MP / मानव विकास सूचकांक

Human Development Index status

Global HDI (UNDP 2022 report, 2021 data): India HDI 0.633. **MP HDI (Sub-national, India HDR / Niti Aayog estimates):** ~0.606 — among **bottom 5 states** (typically 30th-32nd of 36 states/UTs). Best in country: Kerala (~0.782); worst: Bihar (~0.580).

NITI SDG India Index (2023-24): MP scored ~62 out of 100, "Performer" category. Strengths: Goal 7 (energy), Goal 13 (climate); Weaknesses: Goal 2 (zero hunger), Goal 3 (health) historically.

Multidimensional Poverty Index (NITI 2023): MP MPI 0.196 — ~36% multidimensionally poor (2019-21), down from 51.95% in 2015-16; sharp improvement, but still high.

Drivers of HDI gap: low literacy/schooling, female labour participation, malnutrition, high IMR/MMR (historical), inter-district inequality (Malwa-Indore vs Bundelkhand-Vindhya).

EXAM TIP — HDI / Population question framework

Likhne ka structure: (1) Define HDI components (income, education, health). (2) Give MP's value with rank context. (3) Compare with India + best/worst state. (4) Identify **3 drivers** of low HDI (poverty, education gap, health). (5) Conclude with policy direction (Mukhya Mantri schemes, PM JANMAN, Ladli Behna Yojana, ABP districts).

SECTION 3 — Agriculture, Agro-climatic Zones, Crops, ODOP

3.1 Role of Agriculture in MP Economy / कृषि की भूमिका

Agriculture is the bedrock of MP's economy — contributing **43.09% of GSVA** (current prices, FY26) and employing **~60% of workforce** (PLFS). Cropping intensity ~155% (above national average). **MP recorded 20%+ agriculture growth** in some past years — won **Krishi Karman Award 7 times**.

Why MP is an agri-powerhouse

1. Vast cultivable area: 15.8 mn ha sown — among highest in India.

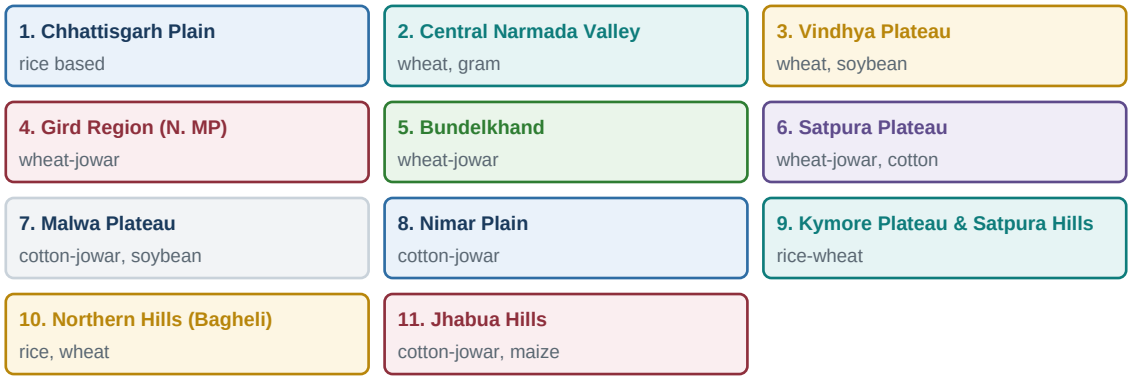
2. Diverse **11 agro-climatic zones** → wide crop basket (wheat, soybean, gram, garlic, mustard, cotton, sugarcane).

3. Three river basins (Narmada, Chambal, Mahi) — irrigation potential of ~60%.

4. Highest Organic Farming area in India (~40% of country's organic certified area).

5. Strong procurement infrastructure — second-highest wheat procurement (after Punjab) — 8+ MMT/yr.

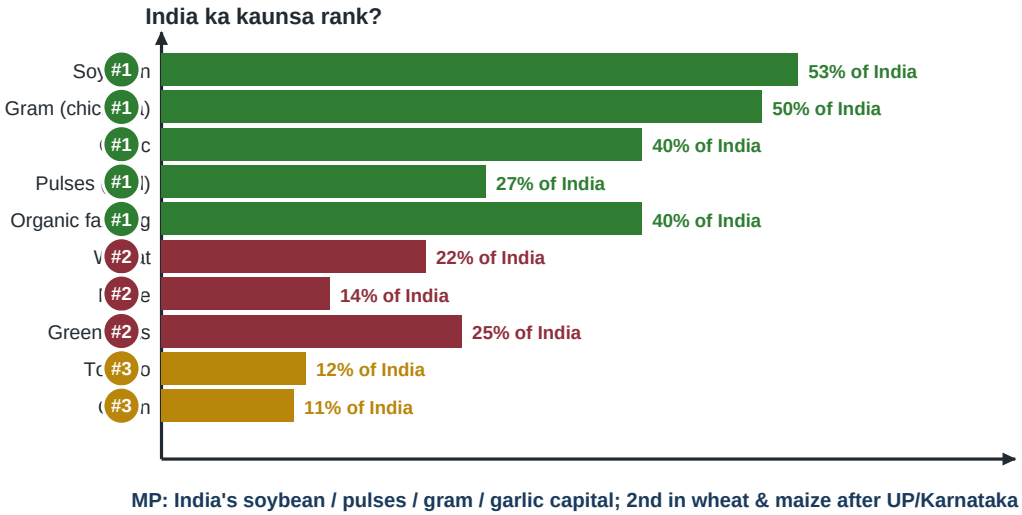
3.2 Agro-climatic Zones of MP / कृषि-जलवायु क्षेत्र



11 agro-climatic zones — har zone ka apna soil, rainfall, cropping system. Diverse agriculture base.

Fig 6: 11 agro-climatic zones of MP — each with distinctive cropping system

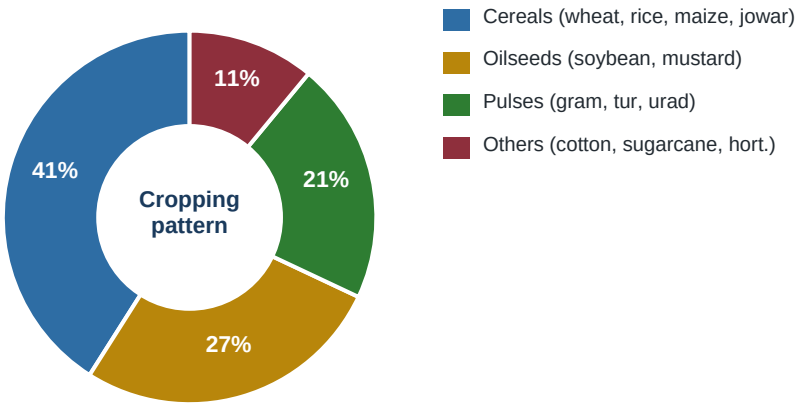
3.3 Major Crops & Productivity / प्रमुख फसलें



MP: India's soybean / pulses / gram / garlic capital; 2nd in wheat & maize after UP/Karnataka

Fig 7: MP's national rank in key crops

Crop	Status	Major districts / regions
Soybean	**#1 in India** (~53% share); kharif oilseed — "yellow revolution" crop	Malwa Plateau, Vidisha, Ujjain, Indore, Dewas, Sagar
Wheat	**#2 in India** (after UP); 2nd-highest procurement; "Sharbati" wheat (premium variety)	Narmada Valley, Vindhya Plateau, Hoshangabad, Sehore, Vidisha
Gram (Chickpea)	**#1 in India**; major rabi pulse	Chhindwara, Rajgarh, Ujjain, Vidisha, Sehore
Pulses (total)	**#1 in India** (~27% share); tur, urad, masoor, moong, gram	Vidisha, Sagar, Damoh, Tikamgarh
Garlic (Lehsun)	**#1 in India**; Mandsaur GI-tagged garlic	Mandsaur, Neemuch, Ratlam, Ujjain
Cotton	Major kharif cash crop; "Malwa cotton"	Khargone, Khandwa, Burhanpur, Barwani (Nimar plain)
Maize	**#2 in India**	Chhindwara, Betul, Jhabua, Alirajpur, Dhar
Rice (Paddy)	Mainly E. MP — rice-wheat system	Balaghat, Mandla, Dindori, Kymore Plateau
Mustard / Sarson	major rabi oilseed	Morena, Bhind, Sheopur (Chambal region)
Sugarcane	limited area, cash crop	Narsinghpur, Hoshangabad belt



Cereals dominate sown area; pulses + oilseeds together ~48% — distinctive of MP among major states

Fig 8: Cropping pattern by share of sown area

3.4 Productivity Snapshot / उत्पादकता

Latest Productivity / Production (2024-25, Economic Survey 2025-26)

- Total crop production grew **7.66%**; foodgrain output **+14.68%**.
- Milk production: **225.95 lakh tonnes** — MP is among top 3 milk producers.
- Cropping intensity: ~155%; gross irrigated area: ~67% of GSA (rapid Narmada-based expansion).
- Yield gap: MP's wheat yield ~3,250 kg/ha — improved but below Punjab (~5,200 kg/ha).
- Horticulture share of agri-GVA growing; MP **#1 in garlic, coriander, ginger, ashwagandha**.

3.5 Cropping Pattern by Zone / क्षेत्रवार फसल प्रारूप

Zone	Dominant Cropping System
Kymore Plateau & Satpura Hills (E. MP)	**Rice-Wheat**
Central Narmada Valley + Vindhya Plateau	**Wheat-dominant** (followed by gram)
Gird, Bundelkhand, Satpura Plateau	**Wheat-Jowar**

Zone	Dominant Cropping System
Malwa Plateau, Nimar Plain, Jhabua Hills	**Cotton-Jowar** + Soybean
Chhattisgarh Plain (transition belt)	**Rice-based**

SECTION 3 (cont.) — Agri Price Policy, Natural Farming, ODOP (Agri)

3.6 Agriculture Policy & Price Policy / कृषि नीति

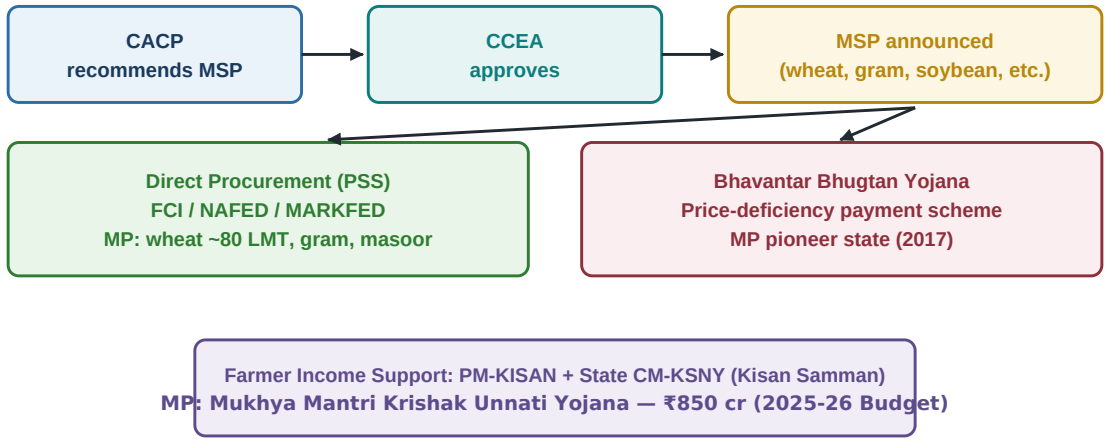


Fig 9: MSP institutional flow + MP's Bhavantar Yojana

Key policy mechanisms

MSP procurement: MP is the **2nd-largest wheat procurer** after Punjab (~70-80 LMT annually). Also procures gram, masoor, sarson at MSP through MARKFED / NAFED.

Bhavantar Bhugtan Yojana (2017): MP was the **pioneer state** for the "price-deficiency payment" model — when market price < MSP, government pays the difference for notified crops (initially soybean, urad, moong, til, maize). Inspired the national PM-AASHA PDPS pillar.

Mukhya Mantri Krishak Unnati Yojana: ₹850 cr (Budget 2025-26) — crop diversification incentive.

State Agriculture Policy 2020+: doubling farmer income, water-efficient cropping, organic + natural farming push, horticulture promotion.

e-Krishi Yantra Anudaan: subsidised farm machinery for marginal farmers.

e-Mandi / Bhavantar 2.0: digital tracking, Aadhaar-linked subsidies, GPS-tracked fertiliser distribution.

3.7 Natural / Organic Farming / प्राकृतिक खेती

MP — India's organic farming capital

Organic farming area: MP holds **~40% of India's total certified organic farming area** — largest in country. ~17 lakh+ ha certified organic.

National Mission on Natural Farming (NMNF): MP a key implementing state — targets along Narmada corridor (Narmada riverbank villages chosen for chemical-free farming).

Madhya Pradesh State Organic Certification Agency (MPSOCA) — apex certifier.

Famous organic products: Sharbati wheat, Malwa soybean, Mandsaur garlic, Nimar cotton.

3.8 ODOP — Agricultural Products / एक जिला एक उत्पाद

ODOP (Agri) — concept

One District One Product (ODOP) — central + state initiative to identify one flagship product per district for branding, value-chain development, GI tag pursuit, market linkage. MP rolled out ODOP in **all districts**.

Linked schemes: PMFME (Formalisation of Micro Food Processing Enterprises) — ~₹10 lakh capital subsidy + skill, branding, market linkage for food processing micro-units.

District / Region	ODOP Agri product
Mandsaur	**Garlic / Lehsun** (GI tag)

District / Region	ODOP Agri product
Hoshangabad (Narmadapuram)	**Tuar Dal**
Morena	**Mustard / Sarson**
Khargone	**Cotton & Chilli**
Chhindwara	**Maize & Orange**
Shivpuri	**Tomato**
Balaghat	**Kodo-Kutki millets**
Jhabua	**Papaya / Tomato**
Ujjain	**Onion**
Sehore	**Sharbati wheat**
Indore	**Snacks / Aloo**
Burhanpur	**Banana / Kela**

EXAM TIP — Agriculture answer template

Always structure: (1) MP's rank in India (data), (2) 11 agro-climatic zones (mention 2-3 with crops), (3) Cropping pattern % (cereals 41, pulses 21, oilseeds 27, others 11), (4) Two policies — MSP procurement + Bhavantar, (5) Future direction — organic farming, natural farming, doubling farmer income.

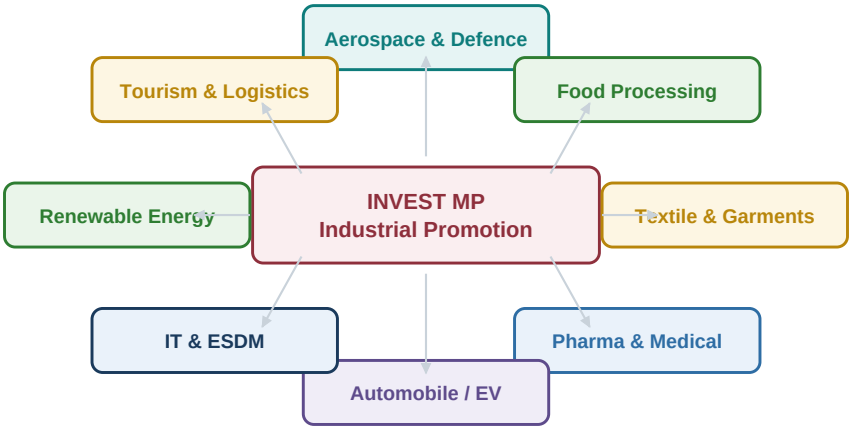
SECTION 4 — Industry, MSME, Tourism, Foreign Investment, ODOP (Industrial)

4.1 Industrial Growth in MP / औद्योगिक विकास

Industry contributes **19.79% of GSDP** (FY26 current). MP's manufacturing share remains modest but is improving through PLI-linked sectors, GIS investments, and the new Industrial Promotion Policy 2025. Key growth poles: **Indore-Pithampur** (auto + pharma), **Bhopal-Mandideep** (manufacturing), **Singrauli** (energy), **Malanjkhand** (copper), **Katni** (cement), **Jabalpur** (defence ordnance).

4.2 Major Industries / प्रमुख उद्योग

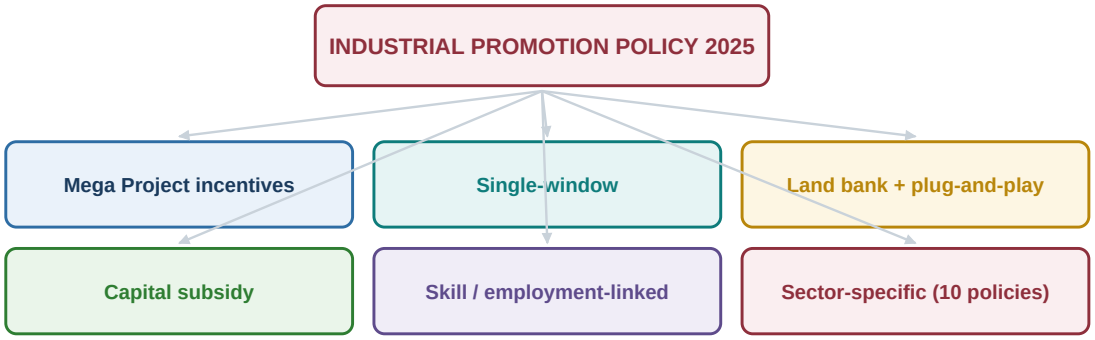
Industry	Major Centres	Note
Cement	Katni, Satna, Damoh, Maihar	limestone-rich belt; MP among top cement producers
Defence / Ordnance	Jabalpur (4 ordnance factories), Itarsi	India's first private small-arms manufacturing unit (Madhya Pradesh)
Aluminium	Korba (post-bifurcation), Mahan	bauxite-based; large smelters
Automobile / Auto-component	Pithampur (Indore) — "Detroit of India"	Mahindra, Eicher, Hyundai vendors
Pharmaceuticals	Pithampur, Indore, Malanpur (Bhind)	Cipla, Lupin, Mankind etc.; pharma policy 2025
Textile	Indore, Burhanpur, Maheshwar, Chanderi	Maheshwari, Chanderi — handloom GI tags
Food Processing	Indore, Bhopal, Sagar, Sehore	soybean processing capital; oil refineries
Paper	Nepanagar (newsprint), Hoshangabad (security paper)	specialised paper; security stamp paper
Electronics & IT	Indore Crystal IT Park, Bhopal IT Park	emerging — IT/ESDM policy push



GIS 2025 (Bhopal, 24-25 Feb): 200+ companies from 50 countries; 20 lakh jobs target in 5 years

Fig 10: Invest MP — focus sectors

4.3 Industrial Policy / औद्योगिक नीति



10 sector policies: Agri-Dairy, Textile, Apparel, Aerospace, Pharma, Biotech, Med-Device, EV, RE, IT/ESDM

Fig 11: Industrial Promotion Policy 2025 architecture

Industrial Promotion Policy 2025 — Highlights

Approved Feb 2025 (ahead of GIS 2025). **Target:** 20 lakh jobs in 5 years.

10 sector-specific policies: Agriculture/Dairy/Food Processing, Textile, Apparel-Footwear-Toys, Aerospace & Defence, Pharma, Biotech, Medical Devices, EV manufacturing, Renewable Energy, IT-ESDM.

Key features: Single-window clearance (MP Trifac portal); capital subsidy; SGST reimbursement; employment incentives (extra subsidy for women, ST/SC); EPF reimbursement; freight subsidy for landlocked state.

Companion policies (2025): MP Export Promotion Policy, Logistics Policy, City Gas Distribution, Tourism Policy, Film Tourism Policy, AVGC-XR Policy.

GIS 2025 (Bhopal, 24-25 Feb): attended by 200+ companies from 50 countries; MoUs signed for Rs 20+ lakh crore investment intent.

4.4 MSME Sector / सूक्ष्म, लघु एवं मध्यम उद्यम

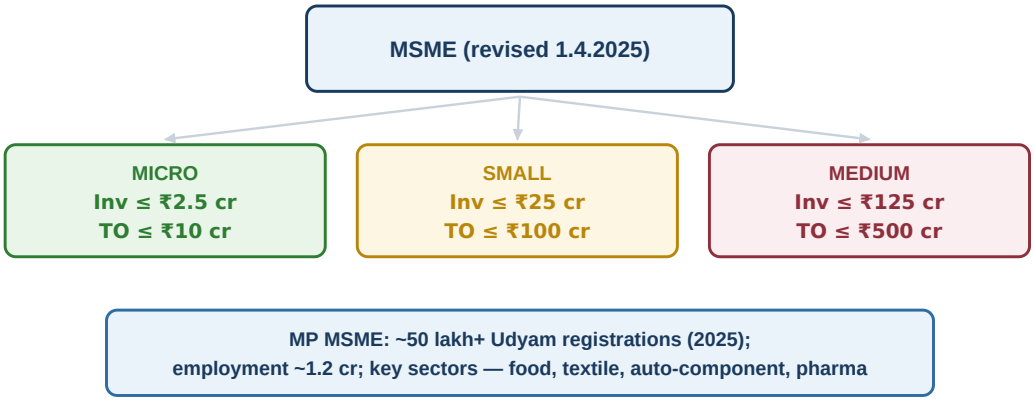


Fig 12: MSME classification (revised w.e.f. 1.4.2025)

MP MSME snapshot

Udyam registrations: ~50 lakh+ (2025) — MP among top 10 states.

Employment: ~1.2 crore (after agriculture, largest employer).

Major clusters: Indore (textile, garment, snacks), Jabalpur (defence, beedi), Sagar (beedi, agarbatti), Burhanpur (textile), Chanderi-Maheshwar (handloom), Malanpur (food).

State MSME Department schemes: Mukhya Mantri Yuva Udyami Yojana, MP Startup Policy 2022, cluster development, CFCs (Common Facility Centres).

4.5 Industrial Estates / औद्योगिक क्षेत्र

Key industrial areas

Pithampur (Indore) — "Detroit of India" — auto, pharma; NIMZ (National Investment & Manufacturing Zone) — only one in MP.

Mandideep (Raisen, near Bhopal) — large general manufacturing.

Malanpur (Bhind) — diversified; many MNCs.

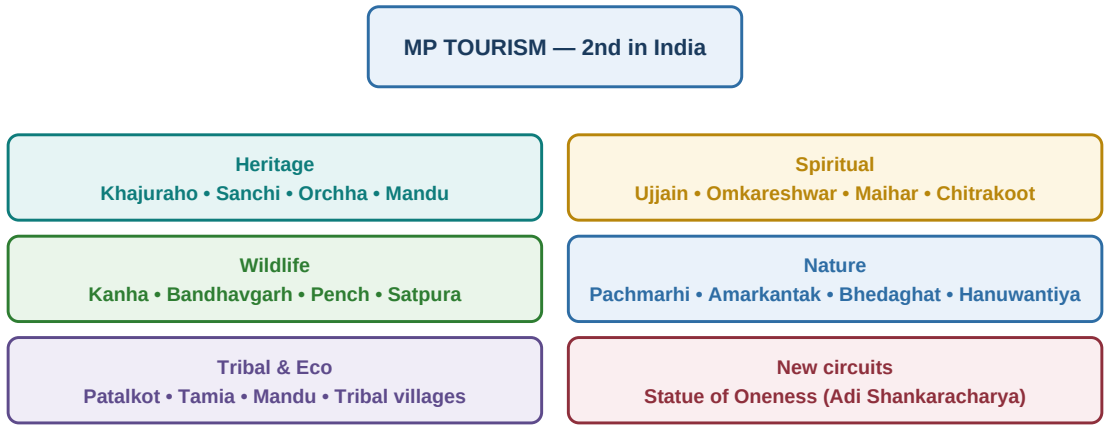
Industrial corridors: Bhopal-Indore Industrial Corridor; DMIC (Delhi-Mumbai) touches Ratlam-Indore-Pithampur.

SEZs: Indore SEZ (IT), Crystal IT Park (Indore), Pharma SEZ Pithampur.

MPIDC (MP Industrial Development Corporation) develops & manages 270+ industrial areas.

SECTION 4 (cont.) — Tourism, Horticulture, Organic Farming, FDI, ODOP (Industrial)

4.6 Tourism in MP / पर्यटन



Tourism Policy 2025: 15-30% capital grant; PPP for hotels in Hanuwantiya/Mandu/Orchha/Amarkantak

Fig 13: MP's tourism circuits and key destinations

MP Tourism — facts

Tagline: "MP Ajab Hai, Sabse Gajab Hai" (later "Hindustan ka Dil Dekho"). MP among top-5 states by tourist arrivals.

3 UNESCO World Heritage Sites: Khajuraho (Chandela temples), Sanchi (Buddhist stupa), Bhimbetka (rock paintings).

"Tiger State of India" — 785 tigers (NTCA 2022); 6 of India's 55 Tiger Reserves (Kanha, Bandhavgarh, Pench, Satpura, Panna, Sanjay-Dubri).

Religious: Ujjain (Mahakaleshwar Jyotirlinga — Mahakal Lok corridor 2022), Omkareshwar (Jyotirlinga + Statue of Oneness — Adi Shankaracharya 108 ft, 2023), Maihar, Chitrakoot, Amarkantak.

Heritage: Mandu (Jahaz Mahal), Orchha (Bundela palaces), Gwalior Fort, Chanderi.

Tourism Policy 2025: 15-30% capital grant for projects > ₹100 cr; 1,000 hectares identified for PPP tourism in Hanuwantiya, Mandu, Orchha, Amarkantak.

4.7 Horticulture / उद्यानकिी

Horticulture in MP

Total horticulture area: ~25 lakh ha; production ~330 lakh tonnes. **Rank:** 6th in India for total horticulture; #1 in spices like garlic, coriander, ajwain, ashwagandha.

Major fruits: Orange (Chhindwara), Banana (Burhanpur), Custard apple (Jhabua, Alirajpur), Mango (Hoshangabad, Sehore), Guava, Lemon.

Major vegetables: Tomato (Shivpuri), Potato (Indore, Gwalior), Onion (Indore), Chilli (Khargone).

Schemes: Mission for Integrated Development of Horticulture (MIDH), state Horticulture Mission, protected cultivation (polyhouse) subsidy.

4.8 Organic Farming / जैवकि खेती

MP holds **~40% of India's certified organic farming area** (~17 lakh ha) — **#1 state**. Major focus along Narmada belt under NMNF. Organic Sharbati wheat, Malwa soybean, Mandsaur garlic — premium export products.

4.9 Foreign Investment / वदिेशी नविेश

FDI & Foreign Investment status

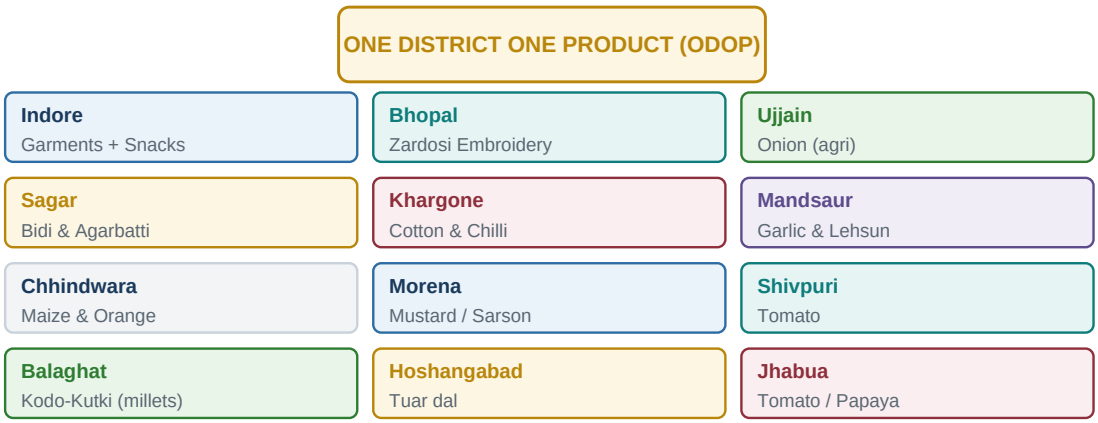
FDI inflow into MP remains modest compared to coastal states — historically < 1% of India total. GIS 2025 was designed to change this trajectory.

Major FDI sources: Japan (auto-component — Pithampur), Germany (engineering), US (pharma), Korea (electronics).

Sector-wise: automotive (Mahindra, Eicher, Hyundai vendors), pharma (Cipla, Lupin), cement (Holcim/Ambuja, UltraTech), food processing, renewable energy (NTPC Renewables, Adani Green).

"Make in MP" + Made in MP" branding launched 2025 to push state-of-origin products.

4.10 ODOP — Industrial Products / औद्योगिक उत्पाद



ODOP launched in MP (all 55 districts); supports MSME branding, GI tag pursuit, export linkage

Fig 14: Sample ODOP allocations across MP districts (mix of agri + industrial)

ODOP — Industrial products examples

- **Indore:** Garments & Snacks (poha, namkeen)
- **Bhopal:** Zardosi embroidery (handicraft)
- **Gwalior:** Handloom (silk)
- **Sagar:** Bidi & Agarbatti
- **Jabalpur:** Green peas & cookies
- **Chanderi (Ashoknagar):** Chanderi sarees (GI tag)
- **Maheshwar (Khargone):** Maheshwari sarees (handloom, GI)

Linked scheme: PMFME (Pradhan Mantri Formalisation of Micro Food Processing Enterprises) — ~₹10 lakh capital subsidy + brand & marketing support per district.

SECTION 5 — Tribal Economy of Madhya Pradesh

5.1 Features of Tribal Economy / जनजातीय अर्थव्यवस्था की विशेषताएँ

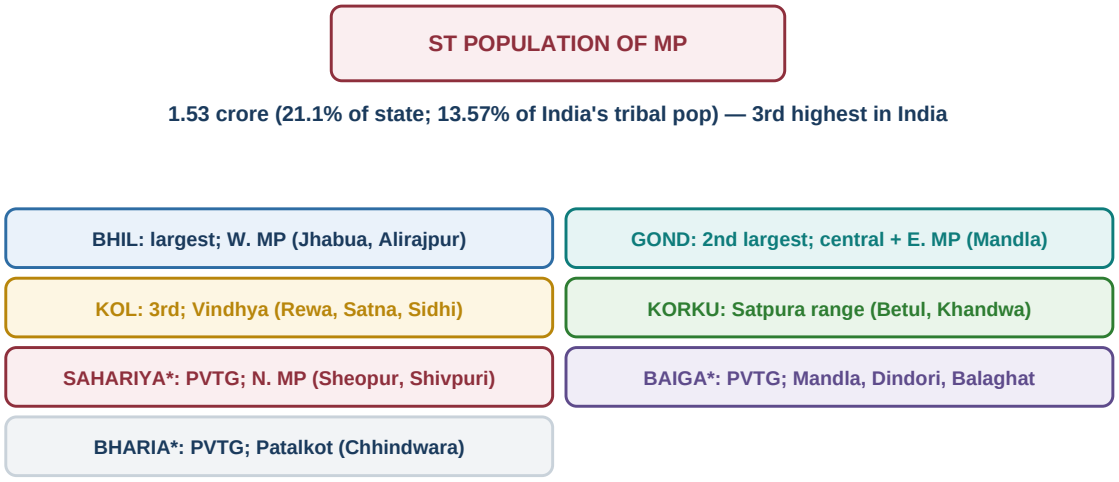


Fig 15: Major tribes & the 3 PVTGs of MP

Madhya Pradesh has the 3rd largest tribal population in India after Maharashtra and Odisha — **1.53 crore Scheduled Tribes** (21.1% of state population), accounting for **13.57% of India's total tribal population**. MP has **46 notified tribes**, of which **3 are PVTGs** (Particularly Vulnerable Tribal Groups): **Baiga, Bhariya, Sahariya**.

Five defining features of MP's tribal economy

(1) Forest-based livelihood: ~30% of MP under Tribal Sub-Plan (TSP); dependence on Minor Forest Produce (Tendu, Mahua, Sal seed, Chironji, Lac, Honey, Bamboo, herbs).

(2) Subsistence agriculture: small marginal holdings; dryland farming; crops — rice, kodo-kutki (millets), maize, jowar, oilseeds; "Baiga Chak" (Mandla-Dindori) and "Godi Kachar" (Shahdol) — traditional names.

(3) Strong barter & haat-bazaar system: weekly local markets (Haat Bazaar) form the primary trade interface — exchange of MFP for grain, cloth, salt.

(4) High poverty / multidimensional deprivation: tribal districts (Alirajpur, Jhabua, Barwani, Mandla, Dindori) rank lowest on HDI; high IMR, low female literacy, indebtedness, exploitation by middlemen.

(5) Distinctive culture: Karma, Saila, Pardhauni dances; Bhagoria, Navakhai festivals; distinct dialects (Bhili, Gondi, Kolami, Bharnoti, Baigani).

5.2 Cropping Pattern in Tribal MP / जनजातीय क्षेत्रों में फसल प्रारूप

Tribal Region / District	Dominant Crops	Pattern
Mandla, Dindori (Baiga belt)	Rice, kodo, kutki, urad, maize	**Bewar / Penda shifting cultivation** (largely phased out)
Jhabua, Alirajpur (Bhil belt)	Maize, cotton, soybean, jowar, tuvar	rain-fed; dryland farming
Sheopur, Shivpuri (Sahariya belt)	Wheat, mustard, gram, bajra	mixed; some irrigation
Chhindwara, Betul (Korku, Gond)	Cotton, soybean, maize, jowar	kharif-dominant
Shahdol, Anuppur, Umaria (Gond, Baiga)	Rice, kodo-kutki, oilseeds	**Rice-millet rotation**

Tribal cropping characteristics

• **Predominantly rain-fed** — irrigation coverage low (often < 20%).

• **Millets dominant** — kodo, kutki, ragi, sawan — climate-resilient, low-input crops. MP supplies majority of India's minor millets.

• **Mixed cropping / intercropping** — risk diversification (e.g., maize + arhar + sesame together).

• **Low marketed surplus** — most produce consumed within household; cash from MFP collection.

• **Shifting cultivation (Bewar / Penda):** historically practised by Baiga — largely converted to settled farming under govt programmes (compensation: "Baiga Chak" land grants).

5.3 Marketing of Tribal Products & Haat Bazaar / जनजातीय वपिणन एवं हाट बाजार

Marketing channels & institutions

Haat Bazaar (weekly markets): traditional & primary trading point — tribal sells MFP (mahua, tendu, sal, chironji, gum, herbs) and small produce; buys grain, oil, cloth, jaggery, household goods. ~hundreds of haats across tribal districts.

Government procurement: MFP MSP (Minimum Support Price) declared by GoI for ~14 MFPs. **TRIFED** (Tribal Cooperative Marketing Development Federation) — national agency. In MP: **MP Rajya Lagho Vanopaj (Vyapar evam Vikas) Sahakari Sangh** ("Vanya") — handles tendu pata, bamboo, mahua flower, sal seed at notified prices.

Vandhan Yojana: Vandhan Vikas Kendras (VDVKs) — value-addition + branding of forest produce (jam, pickles, herbal medicine, honey). Run by SHGs.

Tendu pata collection: MP is India's **largest tendu producer**; ~1500-1700 crore standard bags annually; bonus distributed to tribal collectors.

Challenges: middleman exploitation, distress sale, lack of storage, pricing asymmetry, delayed payments.

5.4 Tribal Livelihood Pattern / जनजातीय आजीवकिा प्रारूप

Sources of livelihood

(1) Agriculture & allied (50-55%): small subsistence holdings; rain-fed; livestock (goat, poultry, pig); fisheries in tank-rich areas (Balaghat, Mandla).

(2) Minor Forest Produce (20-25%): tendu, mahua, sal seed, chironji, gum, lac, honey, herbs, bamboo handicrafts.

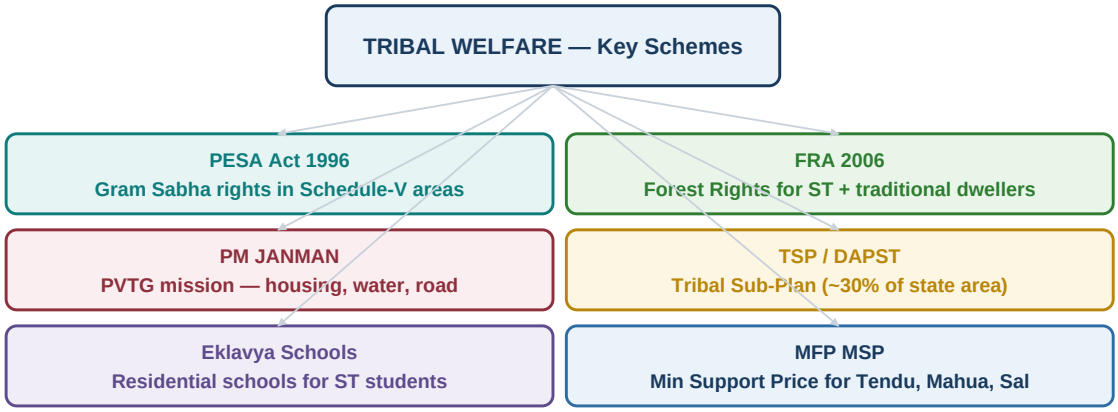
(3) Wage labour (15-20%): MGNREGA, construction, agricultural labour, seasonal migration to Gujarat/Maharashtra (especially Bhil).

(4) Artisanal & crafts (5-10%): Gond painting (now globally known, GI tag), Pithora art (Bhil), Bell-metal craft (Dhokra), bamboo basketry.

(5) Mining & quarrying: small-scale labour at limestone/sand sites — risky, often informal.

SECTION 5 (cont.) — Government Schemes for Tribal Upliftment

5.5 Government Schemes / जनजातीय उत्थान हेतु योजनाएँ



Other: SCA-TSP, Vanbandhu Kalyan Yojana, MP's Aadim Jaati Adhikar campaigns, Haat Bazaar markets

Fig 16: Key tribal welfare schemes operative in MP

Constitutional & Legal framework

Article 244 + Fifth Schedule: Scheduled Areas governance — MP has **89 tribal blocks** in 20 districts under Fifth Schedule.

Article 275(1): Grants-in-aid to states for tribal welfare.

Article 342: President notifies Scheduled Tribes.

PESA Act 1996: Panchayats (Extension to Scheduled Areas) — empowers **Gram Sabha** as central decision-making body in Scheduled Areas; MP enacted state PESA Rules in **Nov 2022** (jaane-mane Hardeo).

Forest Rights Act 2006 (FRA): recognises Individual + Community Forest Rights for ST + OTFD (Other Traditional Forest Dwellers).

Central Schemes for tribal upliftment

PM JANMAN (Janjati Adivasi Nyaya Maha Abhiyan, 2023): ₹24,104 cr scheme for PVTG households — pucca housing, road connectivity, drinking water, electricity, mobile coverage, livelihood. MP's 3 PVTGs (Baiga, Bhariya, Sahariya) major beneficiaries.

DAPST (Development Action Plan for Scheduled Tribes): formerly TSP; state allocates proportional budget to tribal welfare.

Pradhan Mantri Adi Adarsh Gram Yojana (PMAAGY): 36,000+ tribal villages — integrated development model.

Vanbandhu Kalyan Yojana: health, education, livelihood, infrastructure in tribal districts.

SCA-TSP (Special Central Assistance to TSP): 100% central grant for tribal development.

Eklavya Model Residential Schools (EMRS): state has 80+ EMRS in tribal blocks; CBSE-affiliated, free education up to Class 12.

National Fellowship & Scholarship for ST students: pre-matric, post-matric, NOS abroad fellowship.

Madhya Pradesh State Schemes for Tribals

Aadim Jaati Kalyan Vibhag (Tribal Welfare Department): nodal department.

Madhya Pradesh Adim Jaati Kalyan Sahakari Vikas Nigam: credit + marketing for tribals.

"Aapki Sarkar Aapke Dwar" / "Jansamvad": direct grievance & benefit delivery.

Madhya Pradesh Rajya Vanopaj Vyapar evam Vikas Sahakari Sangh ("Vanya"): tendu / mahua / sal seed procurement at notified rates.

Mukhya Mantri Madhu Vikas Yojana: beekeeping & honey livelihood for tribal areas.

Ladli Behna + Ladli Lakshmi Yojana: universal but high impact in tribal districts.

Adivasi Hostel Yojana / Ashram Shala / Sankhya Pradhan Mantri Adi Mehnat: education access.

State PESA Rules 2022: Gram Sabha empowered for forest produce auction, water bodies, sand mining, land record, social audit.

5.6 PVTGs of MP — Detailed Profile

PVTG	Districts / Region	Distinctive Features
Baiga	Mandla, Dindori, Balaghat, Anuppur, Shahdol, Umaria	Believed to originate from Bhumia tribe (Chota Nagpur). Traditional shifting cultivation (Bewar). Famous for body tattooing, "Karma" dance, herbal medicine.
Sahariya	Sheopur, Shivpuri, Gwalior, Morena, Datia, Bhind (N. MP)	Kolarian origin. Family called "Kutumb". Widow remarriage permitted ("Nut"). Heavily dependent on MFP & wage labour; vulnerable to bonded labour traps.
Bharia	Patalkot valley (Chhindwara), Jabalpur	Consider themselves younger siblings of Gonds; Dravidian origin. Live in isolated Patalkot valley (UNESCO eco-heritage). "Bharnoti" dialect. Diet: Pej (gruel), mango, mahua seeds.

EXAM TIP — Tribal economy answer framework

(1) Always lead with the data: **21.1% ST share, 1.53 cr population, 46 tribes, 3 PVTGs**. **(2)** Name the largest tribes (Bhil, Gond, Kol) and 3 PVTGs (Baiga, Bhariya, Sahariya). **(3)** Discuss the 5 livelihood pillars — agri, MFP, wage labour, crafts, mining. **(4)** Mention 4-5 specific schemes — PM JANMAN, PESA, FRA, EMRS, Vandhan. **(5)** Conclude with challenges (poverty, displacement, malnutrition) and policy direction.

QUICK REVISION ANCHORS — एक नज़र में

Theme	Key fact / data
Area & rank	3.08 lakh km²; **2nd largest state by area**; 9.36% of India; 55 districts
Population (2011)	7.27 cr — **5th largest state**; 2026 projection ~9.0 cr
GSDP FY26	**₹16.70 lakh cr current**; ₹7.82 lakh cr constant; 11.14% / 8.04% growth
PCI FY26	**₹1,69,050** (4.4× from 2011-12); still ~20% below national PCI
Sectoral share (FY26)	Primary 43.09% (crops 30.17), Secondary 19.79%, Tertiary 37.12%
Tertiary growth	**15.8%** — fastest growing sector
Fiscal	Revenue surplus ₹2,618 cr; FD 4.66% GSDP; Debt-GSDP 31.3%
Unemployment	**1.6%** (state) vs 3.2% national — lowest among large states
Sex ratio	931 (M F); child sex ratio 918; gender gap in literacy ~19 pp
Literacy	69.32% (M 78.7%, F 59.2%); rank 28/36
ST population	**1.53 cr — 21.1%** of state; 13.57% of India; 3rd highest
PVTGs	**3 in MP: Baiga, Bhariya, Sahariya**
Major tribes	Bhil (largest), Gond, Kol, Korku, Bharia, Sahariya, Baiga
Agro-climatic zones	**11** in MP — Malwa, Nimar, Vindhya, Bundelkhand, Gird, Satpura etc.
India rank — Soybean	**#1** — ~53% of India's production
India rank — Pulses	**#1** — ~27% (highest for gram + tur)
India rank — Wheat	**#2** after UP — Sharbati GI
India rank — Garlic	**#1** — Mandsaur garlic GI
Organic farming	**#1 state** — ~40% of India's organic area
Cropping pattern	Cereals 41%, Oilseeds 27%, Pulses 21%, Others 11%
Bhavantar Yojana	**MP pioneer** (2017) — price-deficiency payment scheme
Industrial Policy 2025	10 sector policies; 20 lakh jobs target; GIS 24-25 Feb 2025
"Detroit of India"	**Pithampur** (Indore) — auto-pharma hub
MSME (revised 2025)	Micro ≤ 2.5cr / 10cr; Small ≤ 25cr / 100cr; Medium ≤ 125cr / 500cr
Diamond producer	**Only state** — Panna; copper — Malanjkhand (largest)
Tiger State	**785 tigers** (2022); 6 tiger reserves
UNESCO sites	Khajuraho, Sanchi, Bhimbetka (3 World Heritage Sites)
Jyotirlingas	Mahakaleshwar (Ujjain), Omkareshwar — Mahakal Lok 2022, Statue of Oneness 2023
PM JANMAN	₹24,104 cr for PVTGs (housing, road, water, electricity)
PESA Rules	MP framed State PESA Rules **Nov 2022**
HDI	MP HDI ~0.606; rank ~30/36; MPI ~36% multidim. poor
Rewa Solar Park	750 MW — one of largest single-site solar projects
Ladli Behna Yojana	₹1,250/month to women — flagship MP scheme
Forest cover	~25% of India's forest in MP — largest forest area
Wheat procurement	**#2 in India** after Punjab — ~70-80 LMT annually

Last-minute exam strategy — Unit 10 specific

(1) Quote Economic Survey 2025-26 numbers — 11.14% GSDP growth, ₹1.69 lakh PCI, 43.09% primary share. These freshness markers impress examiners.

(2) Always link to India rank — wherever MP is #1 (soybean, pulses, garlic, organic, diamond) — use it as your hook.

(3) Use the "5-pillar" structure for any sectoral question (agri / industry / tribal): features → data → schemes → challenges → way forward.

(4) Name-drop strategically: 11 agro-zones (mention 3-4), 3 PVTGs, 46 tribes, 10 sectoral policies, 55 districts, GIS 2025, ODOP.

(5) End every answer with a sentence on policy direction: "Vision 2047 / Atmanirbhar MP / doubling farmer income / Industrial Promotion Policy 2025 ke madhyam se MP ek viksit rajya banane ki ore agrasar hai."